

CONFIDENTIAL

Quality of Earnings Report

PVR

Prepared: 10 Jul 2026

Prepared using AI-assisted financial normalization. This report is a supporting analytical tool and does not constitute an audit, review, or compilation under AICPA/ICAI standards.

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- EBITDA and Seller's Discretionary Earnings (SDE) are calculated using industry-standard main-street business brokerage conventions, which may differ from formal GAAP or IFRS-based adjustments used in larger M&A transactions.
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Executive Summary

This Quality of Earnings report provides a normalized view of PVR's financial performance. For the period, PVR recorded revenue of 130,320. Normalized EBITDA was -42,605; however, after accounting for total add-backs of 40,730, Seller's Discretionary Earnings (SDE) was positive at 6,025. This analysis highlights the impact of discretionary expenses on the company's profitability from an owner-operator perspective.

TOTAL REVENUE	NET INCOME	EBITDA	SDE
¹1,30,320	- ¹42,605	- ¹42,605	¹6,025

Normalized Profit & Loss Statement

Category	Amount
Revenue	11,30,320
COGS	- 165,010
Payroll	- 149,500
Rent	- 119,200
Utilities	- 12,695
Marketing	- 12,400
Insurance	- 11,680
Owner Compensation	- 17,900
Professional Fees	- 118,600
Vehicle	- 14,600
Other Operating Expense	- 1890
Travel & Entertainment	- 1450
Net Income	- 142,605
EBITDA	- 142,605
SDE	16,025

Add-Back Schedule

The following items were identified as personal, discretionary, or non-recurring expenses added back to EBITDA to calculate Seller's Discretionary Earnings (SDE). Each should be reviewed and confirmed by the business owner.

Add-Back Item	Occurrences	Amount
One-time legal settlement payment; non-recurring expense	undefined	¹ 18,000
Owner's family member on payroll; potentially without clear business purpose	undefined	¹ 6,400
Owner's personal vehicle expense; not required for business	undefined	¹ 5,750
Payroll for owner's son; potentially discretionary or non-essential	undefined	¹ 3,200
Owner's son on payroll; likely discretionary or non-essential	undefined	¹ 3,200
Owner's personal travel expense not related to business operations	undefined	¹ 2,400
Owner's personal vehicle lease; not a business operating expense	undefined	¹ 1,150
Personal country club membership; not essential for business	undefined	¹ 450
Owner's personal cell phone; not a business operating expense.	undefined	¹ 180

Total Add-Backs: ¹40,730

Key Ratios & Margins

Metric	Value
Net Income Margin	-32.7%
EBITDA Margin	-32.7%
SDE Margin	4.6%
Total Add-backs as % of Revenue	31.3%

Margins are calculated against total normalized revenue for the analyzed industry benchmarks by a qualified advisor.

Transaction Detail (Categorized)

58 transactions were processed and categorized below. Add-back items are marked with *.

Date	Description	Category	Amount
5 Jan 2025	Square Payments Inc - Retail Sales	Revenue	18,420
10 Jan 2025	ABC Hardware Distributors LLC	COGS	- 9,210
15 Jan 2025	Gusto Payroll - Staff Wages	Payroll	- 6,500
15 Jan 2025	Westgate Properties - Store Rent	Rent	- 3,200
18 Jan 2025	Pacific Gas & Electric	Utilities	- 410
20 Jan 2025	Facebook Ads - Store Promotion	Marketing	- 350
22 Jan 2025	State Farm - Business Insurance	Insurance	- 280
25 Jan 2025	Owner's personal Tesla lease payment *	Owner Compensation	- 1,150
28 Jan 2025	Smith & Associates - Legal Fees	Professional Fees	- 600
5 Feb 2025	Square Payments Inc - Retail Sales	Revenue	19,850
10 Feb 2025	ABC Hardware Distributors LLC	COGS	- 9,800
15 Feb 2025	Gusto Payroll - Staff Wages	Payroll	- 6,500
15 Feb 2025	Westgate Properties - Store Rent	Rent	- 3,200
18 Feb 2025	Pacific Gas & Electric	Utilities	- 395
20 Feb 2025	Facebook Ads - Store Promotion	Marketing	- 350
22 Feb 2025	State Farm - Business Insurance	Insurance	- 280
25 Feb 2025	Owner's personal Tesla lease payment *	Owner Compensation	- 1,150
28 Feb 2025	Delta Airlines - Owner personal Cancun ... *	Owner Compensation	- 2,400
5 Mar 2025	Square Payments Inc - Retail Sales	Revenue	21,100
10 Mar 2025	ABC Hardware Distributors LLC	COGS	- 10,500
15 Mar 2025	Gusto Payroll - Staff Wages	Payroll	- 6,500
15 Mar 2025	Westgate Properties - Store Rent	Rent	- 3,200
15 Mar 2025	Gusto Payroll - J. Smith (owner's son) *	Owner Compensation	- 3,200
18 Mar 2025	Pacific Gas & Electric	Utilities	- 420
20 Mar 2025	Facebook Ads - Store Promotion	Marketing	- 400
22 Mar 2025	State Farm - Business Insurance	Insurance	- 280
25 Mar 2025	Owner's personal Tesla lease payment *	Vehicle	- 1,150
28 Mar 2025	Home Depot - Store Fixtures	Other Operating Expense	- 890
5 Apr 2025	Square Payments Inc - Retail Sales	Revenue	22,300
10 Apr 2025	ABC Hardware Distributors LLC	COGS	- 11,200
15 Apr 2025	Gusto Payroll - Staff Wages	Payroll	- 6,800
15 Apr 2025	Westgate Properties - Store Rent	Rent	- 3,200

15 Apr 2025	Gusto Payroll - J. Smith (owner's son) *	Payroll	- 13,200
18 Apr 2025	Pacific Gas & Electric	Utilities	- 1405
20 Apr 2025	Facebook Ads - Store Promotion	Marketing	- 1400
22 Apr 2025	State Farm - Business Insurance	Insurance	- 1280
25 Apr 2025	Owner's personal Tesla lease payment *	Vehicle	- 11,150
28 Apr 2025	Riverside Country Club - Membership Dues *	Travel & Entertainment	- 1450
5 May 2025	Square Payments Inc - Retail Sales	Revenue	123,750
10 May 2025	ABC Hardware Distributors LLC	COGS	- 111,900
15 May 2025	Gusto Payroll - Staff Wages	Payroll	- 16,800
15 May 2025	Westgate Properties - Store Rent	Rent	- 13,200
15 May 2025	Gusto Payroll - J. Smith (owner's son) *	Payroll	- 13,200
18 May 2025	Pacific Gas & Electric	Utilities	- 1430
20 May 2025	Facebook Ads - Store Promotion	Marketing	- 1450
22 May 2025	State Farm - Business Insurance	Insurance	- 1280
25 May 2025	Owner's personal Tesla lease payment *	Vehicle	- 11,150
30 May 2025	Johnson Legal Group - Settlement Paymen... *	Professional Fees	- 118,000
5 Jun 2025	Square Payments Inc - Retail Sales	Revenue	124,900
10 Jun 2025	ABC Hardware Distributors LLC	COGS	- 112,400
15 Jun 2025	Gusto Payroll - Staff Wages	Payroll	- 16,800
15 Jun 2025	Westgate Properties - Store Rent	Rent	- 13,200
15 Jun 2025	Gusto Payroll - J. Smith (owner's son) *	Payroll	- 13,200
18 Jun 2025	Pacific Gas & Electric	Utilities	- 1455
20 Jun 2025	Facebook Ads - Store Promotion	Marketing	- 1450
22 Jun 2025	State Farm - Business Insurance	Insurance	- 1280
25 Jun 2025	Owner's personal Tesla lease payment *	Vehicle	- 11,150
28 Jun 2025	Verizon Wireless - Owner personal cell ... *	Utilities	- 1180

